

Extra exercises of Lecture 11

EX 1

A Trader is long on a future of stocks of company BCA Inc.. Which of the following strategies can is best to hedge against the possibility of any loss from holding the future?

- a) simultaneous purchase of a put option on stocks
- b) simultaneous sell a call option on stocks
- c) simultaneous opening a short position of a futures contract on stocks
- d) simultaneous opening a long position of a forward contract on stocks

EX 2

What's the profit of 20 put options expiring today with strike price \$150 and premium \$5 if the spot price of the underlying asset is \$110?

- a) \$100
- b) \$700
- c) \$140
- d) \$0

EX 3

A trader entered an option position when the spot price of the underlying asset was \$100, and the premium was \$3. The strike price of the option is \$110 and the spot price of the asset at maturity is \$99. If trader's net loss from this position was \$8, what position did he/she enter?

- a) trader bought a call option
- b) trader bought a put option
- c) trader wrote a call option
- d) trader wrote a put option

EX 4

Which of the following statements is correct?

- a) If the spot price increases, the value of a call option increases
- b) If the strike price increases, the value of a call option increases
- c) If volatility increases, the value of a call option decreases
- d) If the time to expiration increases, the value of a call option decreases